

Subject Description Form

Subject Code	AF3317
Subject Title	Risk Management
Credit Value	3
Level	3
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisites: Business Finance (AF3313) and Introduction to Statistics for Business (AMA1501) or equivalent
Objectives	This subject aims to enable students to apply basic financial theories, analyze financial reports, understand the operation of financial markets and understand the implications of technologies (FinTech in particular) for risk management, and give students an insight into how a business can identify and measure its loss exposures and select appropriate tools for the management of those exposures. It also requires students to demonstrate critical and creative thinking, and work effectively with and through others. This subject is to prepare the students to establish the body of knowledge necessary for independent risk management analysis and decision-making.
Subject Learning Outcomes	Upon completion of the subject, students will be able to: <u>explain</u> the principles of risk management in relation to economics, corporate finance, investment, and corporate governance; <u>evaluate</u> the role of risk management in corporations and financial institutions; <u>apply</u> all tools to identify, measure and control risk exposures related to operation, financing and investment in a global market; (BBA outcome 14) <u>understand</u> the development of FinTech and <u>evaluate</u> the implications of such technologies as AI and machine learning, blockchain and big data for risk management. (BBA outcome 7)
Subject Synopsis/ Indicative Syllabus	Introduction to Risk Definition of risk. Various concepts of risk and uncertainty. Classifications of risks. Basic Concepts of Risk Management Definition of risk management. Importance of risk management. Risk management process. Role of risk management. Risk Identification Sources of risk. Identification of risk exposures. Risk identification for various types of risk. Risk Evaluation Risk assessment in general. Risk assessment for various types of risk. Risk Control Reasons for risk control. Risk control tools. Risk control for various types of risk. Applications of Risk Management Hedging. Portfolio risk management. Case studies. FinTech

	Development of FinTech. Use of FinTech for managing risk. Issues with FinTech.							
Teaching/Learning Methodology	A 3-hour seminar will be conducted which provides theoretical concepts and students will also be required to apply the theory to solve risk management problems.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Attendance and Participation	10%	√	√	√	√		
	2. Individual assignments	20%	√	√	√	√		
	3. Group projects	20%	√	√	√	√		
	Final Examination	50%	√	√	√	√		
	Total	100 %						
	To reflect the significant technology content in this subject, 10% (or more) of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.							
Student Study Effort Expected	Class contact:							
	▪ Lectures			26 Hrs.				
	▪ Seminars			13 Hrs.				
	Other student study effort:							
	▪ Revision			52 Hrs.				
	▪ Working on assignments / individual essay / presentation			20 Hrs.				
	Total student study effort			111 Hrs.				
Reading List and References	Crouhy, M., D. Galai, and R. Mark, <i>The Essentials of Risk Management</i> , 3 rd Edition, McGraw Hill, 2023.							
	Jorion, P., <i>Value at Risk: The New Benchmark for Controlling Financial Risk</i> , 3 rd Edition, McGraw Hill, 2007.							
	Lam, J., <i>Enterprise Risk Management: From Incentives to Controls</i> , 2 nd Edition, Wiley, 2014.							
	Hull, J., <i>Risk Management and Financial Institutions</i> , 6 th Edition, Wiley, 2023.							
	Chance, D. and R. Brooks, <i>An Introduction to Derivatives & Risk Management</i> , 10 th Edition, Cengage Learning, 2016.							
	Lynn, T., J.G. Mooney, P. Rosati, and M. Cummins, <i>Disrupting Finance: FinTech and Strategy in the 21st Century</i> , Palgrave Macmillan, 2019.							